Composites

Source: https://www.prarulebook.co.uk/pra-rules/composites/03-03-2026
Effective Date: 03-03-2026
Type: PRA Rule
Scraped: 2026-03-02 20:50

1

Application

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_ ;
2. (2) in accordance with Insurance General Application 3, the _Society_; and
3. (3) in accordance with Insurance General Application 3, _managing agents_.

2

Long-Term and General Insurance Activities to Be Separately Managed

2.1

This Chapter:

1. (1) applies to a _composite firm_ other than a _pure reinsurer_ ; and
2. (2) does not apply to a _managing agent_ which manages one or more _syndicates_ , all of which carry on _reinsurance_ exclusively.

2.2

A _composite firm_ must separately manage the activities relating to its _general insurance business_ and the activities relating to its _long-term insurance business_ in such a way that:

1. (1) its _long-term insurance business_ and its _general insurance business_ are distinct from one another;
2. (2) the interests of _policyholders_ of _contracts of long-term insurance_ are not prejudiced by activities relating to the _firm?s_ _general insurance business_ and the interests of _policyholders_ of _contracts of general insurance_ are not prejudiced by activities relating to the _firm?s_ _long-term insurance business_ ; and
3. (3) profits from the activities relating to the _composite firm?s_ _long-term insurance business_ benefit _policyholders_ of _contracts of long-term insurance_ as if the _composite firm_ was engaged only in _long-term insurance business_.

[Note: Art. 74(1) of the _Solvency II Directive_]

3

Minimum Financial Obligations: General Provisions

3.1

This Chapter:

1. (1) applies to a _composite firm_ , other than a _pure reinsurer_ ; and
2. (2) does not apply to a _managing agent_ which manages one or more _syndicates_ , all of which carry on _reinsurance_ exclusively.

3.2

A _composite firm_ must maintain separate accounts for each of its _long-term insurance business_ and its _general insurance business_ to show the sources of the results for each activity separately.

3.3

For the purposes of 3.2, the _firm_ must:

1. (1) break down, according to origin, all income (including _premiums_ , recoverables from _reinsurance contracts_ and investment income) and all expenditure (including insurance settlements, additions to _technical provisions_ , _reinsurance premiums_ and operating expenses) in respect of its _general insurance business_ and its _long-term insurance business_ , respectively; and
2. (2) if items are shared between the _firm?s_ _long-term insurance business_ and its _general insurance business_ , apportion those items appropriately between the two activities and enter them into the accounts on the basis of that apportionment.

[Note: Art. 74(6) of the _Solvency II Directive_]

3.4

The _firm_ must record the methods on the basis of which the apportionment referred to in 3.3(2) has been made and be able to demonstrate to the _PRA_ the appropriateness of those methods of apportionment.

4

Minimum Financial Obligations: Calculation of Notional Minimum Capital Requirement

4.1

This Chapter:

1. (1) applies to a _composite firm_ , other than a _pure reinsurer_ ; and
2. (2) does not apply to _managing agents_.

4.2

Without prejudice to the _SCR Rules_ and the Minimum Capital Requirement Part, the _firm_ must calculate on the basis of the accounts referred to in 3.2:

1. (1) a notional long-term insurance MCR with respect to its _long-term insurance business_ , calculated as if the _firm_ carried on _long-term insurance business_ only; and
2. (2) a notional general insurance MCR with respect to its _general insurance business_ , calculated as if the _firm_ carried on _general insurance business_ only.

[Note: Art. 74(2) of the _Solvency II Directive_]

4.3

The _firm_ must cover:

1. (1) its notional long-term insurance MCR with _eligible own funds_ attributable to its _long-term insurance business_ , as identified on the basis of the accounts referred to in 3.2; and
2. (2) its notional general insurance MCR with _eligible own funds_ attributable to its _general insurance business_ , as identified on the basis of the accounts referred to in 3.2.

[Note: Art. 74(3) of theSolvency II Directive]

4.4

For the purposes of 4.3, the _firm_ must not cover:

1. (1) its notional long-term insurance MCR with _eligible own funds_ attributable to its _general insurance business_ ; and
2. (2) its notional general insurance MCR with _eligible own funds_ attributable to its _long-term insurance business_.

[Note: Art. 74(3) of the _Solvency II Directive_]

4.5

The _firm_ must prepare a statement on the basis of the accounts referred to in 3.2 identifying the _eligible own funds_ covering the notional long-term insurance MCR and the notional general insurance MCR, respectively.

[Note: Art. 74(6) of the _Solvency II Directive_]

4.6

Provided the _firm_ satisfies the requirements in 4.3 and 4.4, and subject to the requirement in 4.7, a _firm_ may use:

1. (1) _eligible own funds_ attributable to its _general insurance business_ that are in excess of its notional general insurance MCR; and
2. (2) _eligible own funds_ attributable to its _long-term insurance business_ that are in excess of its notional long-term insurance MCR;

to cover part or all of the difference between the _firm?s SCR_ and the sum of its notional general insurance MCR and notional long-term insurance MCR.

[Note: Art. 74(4) of the _Solvency II Directive_]

4.7

For the purposes of 4.6, a _firm_ must notify the _PRA_ before using:

1. (1) _eligible own funds_ referred to in 4.6(1) to cover the portion of the difference referred to in 4.6 that relates to the difference between the notional long-term insurance SCR and the notional long-term insurance MCR; or
2. (2) _eligible own funds_ referred to in 4.6(2) to cover the portion of the difference referred to in 4.6 that relates to the difference between the notional general insurance SCR and the notional general insurance MCR.

[Note: Art. 74(4) of the _Solvency II Directive_]

4.8

If a _composite firm_ is in breach of either 4.3(1) or 4.3(2), Undertakings In Difficulty 4.1 applies to the activity in respect of which the breach has occurred, as if the words ? _MCR_ ? in Undertakings In Difficulty 4.1 were substituted with the words ?notional long-term insurance MCR? or ?notional general insurance MCR?, as applicable, regardless of whether any breach has occurred in respect of the other activity.

[Note: Art. 74(7) of the _Solvency II Directive_]

4A

Notional General Insurance Minimum Capital Requirement

4A.1

This Chapter:

1. (1) applies to a composite firm, other than a pure reinsurer; and
2. (2) does not apply to managing agents.

4A.2

The notional general insurance MCR must be equal to the following:

$$\mathrm{NMCR_{gi}\ =\ max(NMCR_{(combined,gi)},\ AMCR_{gi})}$$

where:

1. (1) NMCR(combined,gi) denotes the notional combined general insurance minimum capital requirement prescribed in 4A.3; and
2. (2) AMCRgi denotes:
1. (a) the absolute floor prescribed in Minimum Capital Requirement 3.2(1); or
2. (b) where Minimum Capital Requirement 3.2(5) applies, the sum of the absolute floor prescribed in Minimum Capital Requirement 3.2(2).

4A.3

The notional combined general insurance minimum capital requirement must be equal to the following:

$$\mathrm{NMCR_{(combined,gi)}\ =\ min(max(NMCR_{(linear,gi)},\ 0.25 \cdot \ (NSCR_{gi}\ +\ Addon_{gi})),\ 0.45 \cdot \ (NSCR_{gi}\ +\ Addon_{gi}))}$$

where:

1. (1) NMCR(linear,gi) denotes the notional linear minimum capital requirement for general insurance business prescribed in 4A.4;
2. (2) NSCRgi denotes the notional general insurance SCR; and
3. (3) Addongi denotes the part of any capital add-on imposed by the PRA, which has been apportioned by PRA to the general insurance business of the firm.

4A.4

The notional linear minimum capital requirement for general insurance business must be equal to the following:

$$\mathrm{NMCR_{(linear,gi)}\ =\ MCR_{(gi,gi)}\ +\ MCR_{(l,gi)}}$$

where:

1. (1) MCR(gi,gi) denotes the linear formula component for general insurance and reinsurance obligations relating to

general insurance business calculated in accordance with 4A.5; and

2. (2) MCR(l,gi) denotes the linear formula component for long-term insurance and reinsurance obligations relating to general insurance business calculated in accordance with 4A.5.

4A.5

MCR(gi,gi) and MCR(l,gi) must be calculated in the same way as MCR(linear,gi) and MCR(linear,l) referred to in Minimum Capital Requirement 3B and 3C respectively, but the technical provisions or premiums written used in the calculation must only relate to the firm?s general insurance and reinsurance obligations.

4B

Notional Long-term Minimum Capital Requirement

4B.1

This Chapter:

1. (1) applies to a composite firm, other than a pure reinsurer; and
2. (2) does not apply to managing agents.

4B.2

The notional long-term insurance MCR must be equal to the following:

$$\mathrm{NMCR_{l}\ =\ max(NMCR_{(combined,l)},\ AMCR_{l})}$$

where:

1. (1) NMCR(combined,l) denotes the notional combined long-term insurance minimum capital requirement prescribed in 4B.3; and
2. (2) AMCRl denotes the absolute floor prescribed in Minimum Capital Requirement 3.2(2).

4B.3

The notional combined long-term insurance minimum capital requirement must be equal to the following:

$$\mathrm{NMCR_{(combined,l)}\ =\ min(max(NMCR_{(linear,l)},\ 0.25\ \cdot \ (NSCR_{l}\ +\ Addon_{l})),\ 0.45\ \cdot \ (NSCR_{l}\ +\ Addon_{l}))}$$

where:

1. (1) NMCR(linear,l) denotes the notional linear minimum capital requirement for long-term insurance business prescribed in 4B.4;
2. (2) NSCRl denotes the notional long-term insurance SCR; and
3. (3) Addonl denotes the part of any capital add-on imposed by the PRA, which has been apportioned by PRA to the long-term insurance business of the firm.

4B.4

The notional linear minimum capital requirement for long-term insurance business must be equal to the following:

$$\mathrm{NMCR_{(linear,l)}\ =\ MCR_{(gi,l)}\ +\ MCR_{(l,l)}}$$

where:

1. (1) MCR(gi,l) denotes the linear formula component for general insurance and reinsurance obligations relating to long-term insurance business calculated in accordance with 4B.5; and
2. (2) MCR(l,l) denotes the linear formula component for long-term insurance and reinsurance obligations relating to long-term insurance business calculated in accordance with 4B.5.

4B.5

MCR(gi,l) and MCR(l,l) must be calculated in the same way as MCR(linear,gi) and MCR(linear,l) referred to in Minimum Capital Requirement 3B and 3C respectively, but the technical provisions or premiums written used in the calculation must only relate to long-term insurance and reinsurance obligations.

4C

Notional Solvency Capital Requirement

4C.1

This Chapter:

1. (1) applies to a composite firm, other than a pure reinsurer; and
2. (2) does not apply to managing agents.

4C.2

The firm must calculate a notional general insurance SCR and a notional long-term insurance SCR.

4C.3

The notional general insurance SCR must be equal to the following:

$${\mathrm{NSCR}}_{\mathrm{gi}}\mathrm{\ =\ }\frac{{\mathrm{NMCR}}_{\mathrm{(linear,gi)}}}{{\mathrm{NMCR}}_{\left(\mathrm{linear,gi}\right)}\mathrm{\ }\mathrm{+\ }{\mathrm{NMCR}}_{\mathrm{(linear,l)}}}\mathrm{\cdot \ SCR}$$

where:

1. (1) SCR denotes the firm?s SCR, which must for the purposes of this Chapter exclude any capital add-on;
2. (2) NMCR(linear,gi) denotes the notional linear general insurance minimum capital requirement for general insurance business prescribed in 4A.4; and
3. (3) NMCR(linear,l) denotes the notional linear minimum capital requirement for long-term insurance business prescribed in 4B.4.

4C.4

The notional long-term insurance SCR must be equal to the following:

$${\mathrm{NSCR}}_{\mathrm{l}}\mathrm{\ =\ }\frac{{\mathrm{NMCR}}_{\mathrm{(linear,l)}}}{{\mathrm{NMCR}}_{\left(\mathrm{linear,gi}\right)}\mathrm{\ }\mathrm{+\ }{\mathrm{NMCR}}_{\mathrm{(linear,l)}}}\mathrm{\cdot \ SCR}$$

where:

1. (1) SCR denotes the SCR, excluding any capital add-on;
2. (2) NMCR(linear,gi) denotes the notional linear general insurance minimum capital requirement for general insurance

business prescribed in 4A.4; and

3. (3) NMCR(linear,l) denotes the notional linear minimum capital requirement for long-term insurance business prescribed in 4B.4.

5

Links Between General Insurers and Long-Term Insurers

5.1

If a _general insurer_ and a _long-term insurer_ have financial, commercial or administrative links with each other, each of those _firms_ must ensure that its accounts are not distorted by an agreement between them or by any arrangement which could affect the apportionment of expenses and income.

[Note: Art. 73(4) of the _Solvency II Directive_]

6

Lloyd?s

6.1

This Chapter applies to _managing agents_.

6.2

A _managing agent_ must not permit both _general insurance business_ and _long-term insurance business_ to be carried on together through any _syndicate_ managed by it, except where:

1. (1) the _long-term insurance business_ to be carried on by that _syndicate_ is or is to be restricted to _reinsurance_ ; or
2. (2) the _general insurance business_ to be carried on by that _syndicate_ is or is to be restricted to _effect contracts of insurance_ or _carry out contracts of insurance_ in _general insurance business_ class 1 (accident) or class 2 (sickness).

[Note: Art. 73(2) of the _Solvency II Directive_]